were allowed to fund builders for construction. The government also aligned tax incentives to promote borrowing for housing.

There is a big risk in the real-estate business. The valuation of housing and other properties can rise without any connection with the value delivered for housing or maintaining a business. The disconnect between valuation and underlying utility has given rise to valuation bubbles in several parts of the world, including India. Such bubbles have also burst, leading to crises in banking and the larger economy.

The policy for the construction and real-estate sector has to be developed keeping these ground realities in mind, as follows:

First, construction has to grow at very high rates of 10–12 per cent per annum as India has enormously high unmet needs of almost every segment of real estate: housing, factories, offices, warehouses, data centres, logistics hubs and other infrastructure. Land is the most essential asset for the construction business. As argued earlier in this chapter, the country has to increase supply of non-agricultural land. It needs to adopt easy and functional policies and legal frameworks to enable conversion/transfer of agricultural lands for non-agricultural use.

Second, the real-estate and construction industry requires a large amount of finances during the construction phase, which may remain stuck for long periods of time unless there is a system of monetizing construction investments. The banking and non-banking system needs to be allowed to provide finance during the construction phase. This would require tweaking in the current policy treating land and construction as a no-go for banking. India needs to develop and scale up monetization mechanisms like Infrastructure Investment Trusts (INVITs) and Real Estate Investment Trusts (REITs) to permit construction and real-estate companies to recover the costs of construction by transferring built assets to INVITs and REITs. A good beginning has been made in developing these instruments in the past few years. However, this needs faster traction.